

VENDOR PROCUREMENT STANDARD OPERATING PROCEDURE

PURPOSE

This SOP governs how Northwind selects, onboards and contracts third-party vendors, and applies to every department that raises a purchase order.

VENDOR ONBOARDING

Every new vendor must complete a security questionnaire and provide proof of insurance before the first purchase order is raised. Onboarding takes 10 business days from receipt of a complete submission.

PURCHASE ORDER RULES

No work may begin before a signed purchase order exists. Verbal commitments are not binding on Northwind. Purchase orders above 200,000 INR require two authorised signatures, one of which must be from Finance.

PAYMENT TERMS

Standard payment terms are net 45 days from a valid invoice. Early payment discounts must be approved by Treasury. Northwind does not pay advances exceeding 20 percent of total contract value.

VENDOR REVIEW

All active vendors are reviewed annually against delivery quality, security posture and price competitiveness. Vendors scoring below 3 out of 5 are placed on a 90 day improvement plan.

TERMINATION

Contracts may be terminated for convenience with 60 days written notice, or with immediate effect in the event of a material security breach or a confirmed conflict of interest.